

Production Possibilities Frontier

Chapter 2

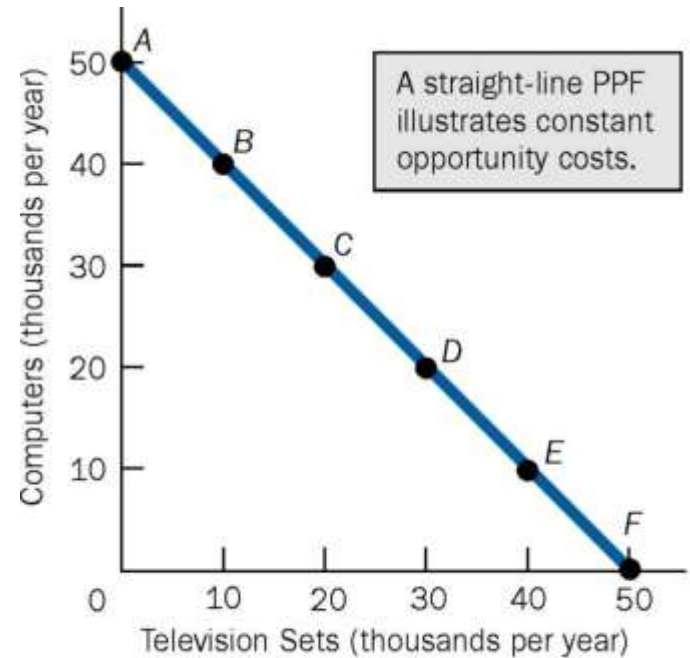
The Production Possibilities Frontier (PPF)

The PPF is a graph representing the possible combinations of two goods that an economy can produce in a certain period of time under the conditions of a given state of technology, no unemployed resources and efficient production.

Straight Line PPF: Constant Opportunity Costs

Combination	Computers (number of units per year)	and	Television Sets (number of units per year)	Point in Part (b)
A	50,000	and	0	A
B	40,000	and	10,000	B
C	30,000	and	20,000	C
D	20,000	and	30,000	D
E	10,000	and	40,000	E
F	0	and	50,000	F

(a)

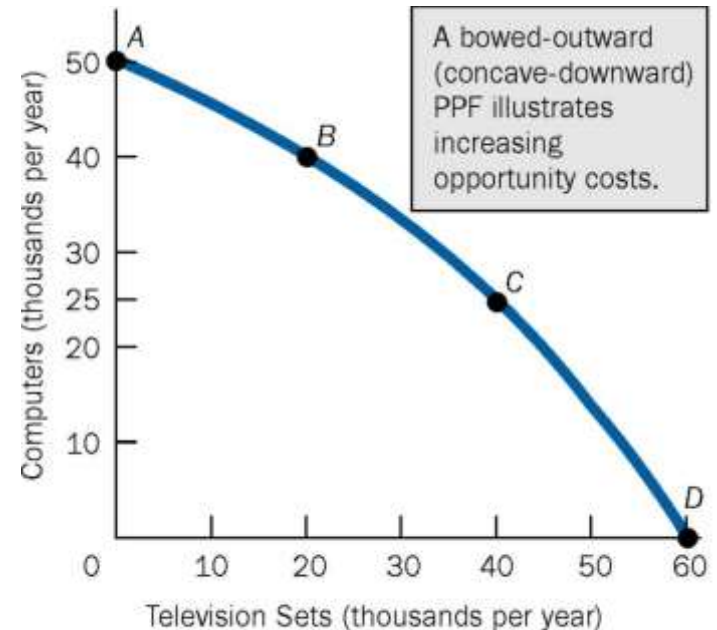


(b)

Bowed Outward PPF: Increasing Opportunity Costs

Combination	Computers (number of units)	and	Television Sets (number of units per year)	Point in Part (b)
A	50,000	and	0	A
B	40,000	and	20,000	B
C	25,000	and	40,000	C
D	0	and	60,000	D

(a)



(b)

Law of Increasing Opportunity Costs

- In the Real World, most PPF lines are bowed outward due to the Law of increasing opportunity cost.
- For most goods, **the opportunity costs increase as more of the good is produced.**

Why?

- As all resources are not equally useful to produce everything (i.e., people also have varying abilities). Explain.....

Economic Concepts in a PPF Framework

- The economy is **efficient** if it is producing the maximum output with given resources and technology.
- The economy is **inefficient** if it is not producing the maximum output with the given resources and technology.
- Efficiency implies gains are impossible in one area without losses in another area.

Technology

- Technology refers to the body of skills and knowledge concerning the use of resources in production.
- An advance in technology commonly refers to the ability to produce more output with a fixed quantity of resources or the ability to produce the same output with a smaller quantity of resources.

PPF and Economic Growth

An increase in resources or an advance in technology (that can lead to more of both goods being produced) can increase the production capabilities of an economy, leading to economic growth and a shift outward.

Example of different types of economic growth....

Three Economic Questions

- What goods will be produced?
- How will the goods be produced?
- For whom will the goods be produced?

Economic Systems

- The way in which society decides what goods to produce, how to produce them, and for whom they will be produced.

Capitalist Economy, Mixed Economy, and Command Economy.

The Vision of The Economy

- A Vision is one's sense of how the world works.
- We refer to the two major viewpoints as Socialist Thinkers and Capitalist Thinkers.
- Each type of thinker has a different vision for what drives or should drive the economy.

Two Visions in a Nutshell

The Capitalist vision holds that the free market is a marvelous “system” for rationing goods, conveying information, producing high-quality goods at the lowest prices, getting people to use their wealth to benefit others, and generally raising people’s standard of living. The Government is made up of people who will respond more readily to well-organized special-interest groups than to the general public. Capitalist thinkers are less inclined to trust the intentions and actions of government decision makers than capitalist thinkers are.

Two Visions in a Nutshell

The Socialist vision holds that the free market leads to some people exploiting others (EX: paying high prices, low wages, and manipulating people's desires). The free market is a "system" that enables some people to better themselves at the expense of others. The government is made up of people who want to and will in most cases do the right thing by the general public. Socialist thinkers are more inclined to trust the intentions and actions of government decision makers than capitalist thinkers are.